

Unlocking the Power of Procurement Analytics for Supply Chain Digitization | by Ekatpure | Medium

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Unlocking the Power of Procurement Analytics for Supply Chain Digitization Procurement analytics provide powerful insights for understanding and optimizing spending patterns, an essential step in supply chain digitization. By analyzing purchase order (PO) data, supply chain managers can identify inefficiencies, reduce costs, and make data-driven decisions to improve procurement performance. This guide walks through a Python-based solution for procurement analytics, complete with code, insights, and visualizations. Step 1: Data Loading and Preprocessing We start by loading PO data into a clean format using Python and the pandas library. This ensures accuracy for subsequent analysis. Step 2: Supplier Spend Analysis Analyzing spend by supplier helps identify key partners and potential cost-saving opportunities. Bar Chart: Spend by Supplier Pie Chart: Supplier Spend Distribution Step 3: Item Model Analysis Understanding item-level spend can highlight areas for optimization. Bar Chart: Spend by Item Model Pie Chart: Top 15 Item Models by Spend Treemap: Spend by Item Model Step 4: Buyer Analysis Analyzing buyer behavior helps optimize procurement policies and reduce inefficiencies. Bubble Chart: Buyer Analysis Treemap: Supplier Spend by Buyer Step 5: Buyer-Supplier Heatmap A heatmap provides an overview of the spending relationships between buyers and suppliers. Final Thoughts This analysis demonstrates the power of data-driven decision-making in supply chain digitization. By utilizing these visualizations, organizations can: Optimize supplier relationships. Streamline buyer procurement behavior. Identify opportunities for cost reduction. With this Python-based approach, supply chain managers gain a comprehensive view of procurement operations, driving more informed and strategic decisions. Ready to unlock actionable insights? Start digitizing your procurement analytics today! For any questions or support, please contact [srekatpure@gmail.com]